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IN THE SUPREME COURT OF THE STATE OF OREGON

DISH NETWORK CORPORATION, Plaintiff-Respondent, v. DEPARTMENT OF REVENUE, Defendant-Appellant.	Tax Court Case Nos. 5007 (Control), 5050, 5140, 5201, 5239, 5267, and 5293 SC S065019

PLAINTIFF-RESPONDENT DISH NETWORK CORPORATION'S ANSWERING BRIEF

Appeal from the Judgment of the Oregon Tax Court
Honorable Henry C. Breithaupt, Judge

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INTRODUCTION

Respondent DISH Network Corp. ("DISH") has provided satellite pay-TV service in Oregon since the mid-1990s. It delivers pay-TV programming from production facilities in other states, through a network of satellites in orbit high above the Earth, and then straight to customers' homes in Oregon and across the nation where specialized equipment decodes the signals and shows the programming on customers' televisions.

From the beginning of DISH's operations in the state in the mid-1990s, local governments assessed DISH's Oregon property and issued property tax bills that DISH paid annually. In the 2009 tax year, however, Appellant Department of Revenue ("the Department") began centrally assessing DISH's property even though there had been no intervening change in DISH's property or DISH's business. The Department's unilateral decision substantially increased DISH's Oregon property taxes.

The Oregon Constitution, as amended by Measure 50, prohibits assessors from increasing the assessed value of property by more than 3% per year, with only six specific exceptions. Measure 50 was the third in a line of constitutional amendments approved in the 1990s by voters who were fed up with ever-increasing property taxes. Voters limited property tax rates in 1990 with the passage of Measure 5, but that effort proved unsatisfactory because it did not

address tax increases driven by rising property values. Voters responded with the passage of Measure 47 in 1996 and its successor, Measure 50, in 1997, which strictly limited assessors' ability to increase Oregonian's assessed valuations and their bottom-line tax bills.

Here, despite the protections of Measure 50, DISH's property tax bill doubled from 2008, the last year of local assessment, to 2009, the first year of central assessment—driven by the Department's near 100% increase in the assessed value of DISH's Oregon property. DISH overpaid property taxes from 2009 through the present totaling more than $2 million as a result.

It is difficult to imagine a more straightforward violation of Measure 50. Indeed, the Department no longer disputes that its assessment of DISH's property violated Measure 50 unless one of the specific exceptions to the 3% Limit applies.

Finding no exception to fit these facts, the Department justifies the assessment with a novel and expansive interpretation of the exception for "new property." It now argues that DISH's property was "new" even though DISH already owned the property; even though the Department could have centrally assessed the property the year before; and even though DISH had paid tax on the property to local governments for more than a decade. None of that history matters, in the Department's view, because property can be "new" for purposes

of the exception merely because it is "newly added to the central assessment roll." Appellant Department of Revenue's Opening Brief ("DOR Br.") at 11.

The Department's interpretation stretches the new property exception beyond recognition, as the Tax Court correctly held on the parties' cross-motions for summary judgment. Voters could never have imagined that an assessor's unilateral actions could make property that they already owned "new property" and unprotected by Measure 50's 3% Limit. Certainly voters never thought that their property could be "new property" if they had actually paid tax on it the year before. Rather, voters understood that property could be added to the assessment roll as "new property" only if they recently built, manufactured, acquired, or added to the property. This intent is confirmed by the text's plain meaning and the surrounding constitutional and statutory context, all of which demonstrate that only the taxpayer's actions can trigger the new property exception. Conversely, an assessor's unilateral actions cannot create new property.

The Department's interpretation that property is "new" whenever it is newly added to an assessment roll reduces Measure 50's protections for all Oregon property taxpayers. The Department's interpretation puts the ability to circumvent Measure 50's 3% Limit in the hands of the very assessors that the voters sought to restrain, impermissibly tilting the constitutional balance in assessors' favor. It would, for example, allow assessors to increase property's

assessed value to correct their own assessment errors, regardless of how long ago the taxpayer acquired or improved the supposedly "new" property. And it will erode the certainty, predictability, and tax relief that are at the heart of Measure 50's 3% Limit.

Accordingly, the Court should reject the Department's expansive interpretation of the new property exception, hold that the exception did not justify the Department's assessment of DISH's property, and affirm the Tax Court's limited judgment.

STATEMENT OF THE CASE

Nature of the Action and Relief Sought

In these cases, consolidated in the Tax Court, DISH filed complaints seeking relief from the Department's assessments of its property from tax year 2009 through 2016. DISH specifically prayed, *inter alia*, for a determination that the Department's assessments violated the Oregon Constitution and for the refund of overpaid property taxes.

Nature of the Judgment

DISH agrees with the Department's statement that it has appealed from a limited judgment of the Tax Court determining the maximum assessed value of DISH's property for tax years 2009 through 2016.

Jurisdiction and Timeliness

DISH does not dispute that the Department timely appealed from the Tax Court's limited judgment and that this Court has jurisdiction under ORS 305.445.

STATEMENT OF MATERIAL FACTS

DISH Provides Pay-TV Service to Customers in Oregon and Across the Nation.

DISH Network[1] is one of the nation's leading providers of pay-TV service. It vigorously competes with the other major satellite pay-TV provider, DIRECTV, as well as with cable providers like Comcast. DISH, like other pay-TV providers, offers a variety of TV programming packages to suit different budgets and tastes, including local broadcast stations, basic channels, premium channels, and pay-per-view movies and events. SER 2.

DISH differs from cable pay-TV providers, however, in how it assembles and distributes programming packages. Specifically, DISH gathers and assembles TV programming signals at a massive digital production facility known as an "uplink facility." From there, it beams the signals up to a fleet of satellites orbiting thousands of miles above Earth. The signals are then sent directly to small satellite receiving dishes located on or near customers' homes

[1] At all relevant times, Respondent DISH Network Corp. provided pay-TV service through its subsidiary, DISH Network L.L.C. SER 2.

and displayed on their televisions using "set-top" boxes that decode the signal. SER 2.

DISH's distribution infrastructure and virtually all of its personal property are located entirely and exclusively outside of the State of Oregon. SER 2-3. Likewise, DISH's satellites are not found on Earth, much less in Oregon—they are all in permanent geostationary orbit in outer space. SER 2-3. And DISH has substantial personal property in other states, such as satellite antennas, installation equipment, and set-top boxes (which are usually leased to customers) that they use exclusively to provide service to customers in those other states. SER 3.

DISH, however, does have personal property in Oregon, namely: (1) set-top boxes and remote controls that DISH leases to subscribers; (2) rack receivers and related equipment that DISH uses to collect local television broadcasts; (3) installation materials, tools, computers, and related equipment that DISH uses when responding to subscriber service calls; (4) dispatch equipment, inventory, office supplies, and related equipment at DISH's office location where it coordinates subscriber installations and service calls; and (5) equipment that DISH uses to provide service to multi-unit dwellings. SER 3. DISH owned and used this property before and during the last year of local assessment, and necessarily, long before the Department's decision in 2009 to centrally assess

DISH's property. DISH thus paid tax on this property to Oregon counties before 2009. SER 3.

DISH also owns intangible personal property, none of which is specific to Oregon. Some of its most valuable intangible assets are licenses issued by the Federal Communications Commission ("FCC") that permit DISH to place its satellites into specific orbital slots and broadcast programming signals over public airwaves. SER 19-23. These FCC licenses, however, are exempt from property taxation under Oregon law, and have been exempt from tax at all times relevant to this case. *See* ORS 307.126.[2] By contrast, non-FCC license intangible assets *are* taxable in Oregon, which in DISH's case were primarily contractual rights that it held at all times relevant to this dispute. SER 19-23. These taxable intangible assets were a relatively small percentage of the total value of DISH's nationwide assets in 2009. SER 23.

Local and Central Assessment Perform Materially Identical Functions in Oregon's Property Tax System.

Most property in Oregon is assessed for property tax purposes by local assessors at the county level. ORS 308.517(5). Local assessors must "proceed each year to assess the value of all taxable property within the county" and record

[2] All citations to Chapters 306, 307, 308, and 311 of the Oregon Revised Statutes are to the 2009 edition.

the results of the assessment on the county's assessment roll. ORS 308.210(1). The object of assessment is both to identify the taxable property in the county and to determine its real market value. *See id.*; ORS 308.205. Local authorities assessed DISH's property from the start of its operations in Oregon in the mid-1990s until 2008, the last year of local assessment. The total statewide assessed value of DISH Network's property in 2008 was $17,367,472, on which it paid tax of $266,462. SER 4.

For more than a century, the state government—rather than county assessors—has had responsibility for assessing the taxable property of certain businesses. *See* ORS 308.515; *Comcast Corp. v. Dep't of Rev.*, 356 Or 282, 291, 337 P3d 768 (2014). The Department of Revenue has an affirmative duty to centrally assess the property of qualifying businesses: "The Department of Revenue *shall* make an annual assessment of any property that has a situs in the state and that . . . is used . . . by any company in performing or maintaining any of the [enumerated] businesses or services." *Id.* 308.515(1) (emphasis added). Since 1973, the list of businesses that are subject to central assessment has included "communications" providers, such as "telephone communication, telegraph communication, and data transmission services by whatever means provided." Or Laws 1973, ch 102 § (1) (codified at ORS 308.505(3)). The definition of "communication" services encompasses the pay-TV services

provided by companies like DISH Network, and their Oregon property is therefore subject to central assessment, as this Court has held. *See Comcast Corp.*, 356 Or at 332-333; *DIRECTV, Inc. v. Dep't of Rev.*, 360 Or 21, 24, 377 P3d 568 (2016).

The similarities between local and central assessment far outweigh any differences, which are immaterial to resolving this dispute in any event. *Contra* DOR Br. at 4-5. Both local and central assessors endeavor to identify and appraise property for purposes of determining its real market value. In determining real market value, they are not required to use any specific valuation methodology. ORS 308.205, 308.232, & 308.555. And neither local nor central assessors have authority to determine whether property is taxable or to expand the scope of taxable property beyond what the legislature has provided. *See* ORS 307.030; ORS 308.505(9).

Central assessment by a single statewide authority is intended only to accurately appraise property that is difficult for assessors to value on a county-by-county basis. *See Comcast*, 356 Or at 290 ("Assessment by a single state assessment body, so-called 'central assessment,' developed to remedy the perceived problems with unit valuations performed by local assessors, particularly in the context of railroad assessments."). In performing this appraisal task, the Department of Revenue may (but is *not* required) to value taxable

Oregon property using the "unit valuation" method. ORS 308.555; *Comcast*, 356 Or at 289-90.

The unit valuation method recognizes that, consistent with the U.S. Constitution, "a state may tax 'the value . . . . of tangible assets permanently or habitually employed in the taxing State.'" *S. Pac. Transp. Co. v. Dep't of Rev.*, 302 Or 582, 589, 732 P2d 18 (1987) (quoting *Norfolk & Western R. Co. v. Missouri Tax Comm'n*, 390 U.S. 317, 323-24 (1968)). In the course of appraising in-state property, an assessor may account for the "'enhanced value which comes to the [tangible] property in the State through its organic relation to [the interstate] system.'" *Id.* (quoting same) (alterations in original). But unit valuation does *not* extend the reach of the state's taxing power beyond Oregon's borders, nor can it: "The taxation of property not located in the taxing State is constitutionally invalid, both because it imposes an illegitimate restraint on interstate commerce and because it denies the taxpayer the process that is his due." *Norfolk*, 390 U.S. at 325.

To put unit valuation in context, it is useful to think of a railroad, the prototypical business that requires central assessment and unitary valuation to capture value. *See Comcast*, 356 Or at 290. If the railroad is locally assessed, a county assessor would identify and appraise a length of railroad track, rail depot, or repair shop situated in the county, and would probably value that property

using appraisal methods that consider the property's original cost less depreciation. Under central assessment, the Department of Revenue appraises the *same* length of track, rail depot, or repair shop, as well as all of the rest of the railroad's property in the state, but it may—and often does—take into account the enhanced value that flows to *that* property because it is part of an interconnected network of rail lines and stations in Oregon and around the country. An arms'-length buyer, after all, probably won't pay very much for 100 miles of railway track in Clackamas County standing alone, but the buyer will pay a lot more if it is part of a railway network. Whether or not the assessor employs unitary valuation methods, or represents a county or the state, the assessor is appraising and calling for the collection of tax on the same line of railway, rail depot, and repair shop. They are just valuing it differently.

Thus, the appraisal unit—that is, the property within and without the state that gives the in-state property enhanced value—is not itself directly assessable; the unit is merely a measuring stick for determining the value of assessable property situated in the state. "To the extent that the concept of a 'unit' is found in the central assessment statutes, it is used in describing a method of valuation . . . . [T]he concept of a unit is a tool in valuation, and even then, is a concept the department has the choice to employ under ORS 308.555." *Pacificorp Power Mktg. v. Dep't of Rev.*, 17 OTR 334, 342 (2004). The unit is not assessable

property, nor does the unit describe what property is taxable: "The unit method does not deal with the combination of different property types for purposes of making all such property subject to taxation. It is, instead, a method for valuing a bundle of property interests and types that are operated together." *Id*.; *accord Comcast*, 356 Or at 293 ("The value of the business, service, or commodity itself is not subject to central assessment."). Accordingly, regardless of whether the Department employed the unit valuation methodology, it was not (and could not as a matter of statutory authority and constitutional law) assessing property outside the state's borders.

The counties maintain their prominence in the property tax system even when the Department is the central assessor. When the Department centrally assesses a taxpayer's property, its role is limited to identifying and appraising that property for ad valorem tax purposes and apportioning that value to each county according to pre-established formula. Just like with local assessments, the county governments still maintain their own assessment rolls, put their share of the centrally assessed property on their rolls, apportion the assessed value to the various taxing districts as may be within the county, collect the tax, and receive the revenue. *See* ORS 308.621(3) ("The assessed value of any property assessed by the department . . . . shall be certified . . . to the county assessor and shall be entered in the county assessment roll, with allocation to the municipal

corporations and taxing districts in which the property is located."); *id.* 308.621(4) ("Taxes shall be levied and collected on properties [centrally] assessed, certified and apportioned in the same time and manner as taxes on other properties are levied and collected.").

In Oregon however, as the Department notes, there is a difference between local and central assessment in the treatment of intangible property. Local assessors may not assess intangible property, but the Department of Revenue can assess intangible property as the central assessor. ORS 307.030 (local assessment); ORS 308.505(9) (central assessment). Thus, companies with substantial intangible assets, such as goodwill or franchise rights and licenses, may pay significantly more under central assessment than they would under local assessment (even aside from the increases that invariably result from unitary valuation). By contrast, companies whose property is primarily real estate or tangible personal property will still likely pay more under central assessment than under local assessment, but they will see a relatively smaller increase than companies with substantial intangible assets. *Compare cf. supra* at 7 (noting the relatively small percentage of DISH's assets composed of taxable intangible property), *with* DOR Br. at 35 (explaining that in the *Comcast* case, the addition of only intangible assets yielded a significant increase in the assessed value).

Voter-Approved Amendments to the Oregon Constitution Safeguard Against Tax Increases Caused by Local and Central Assessors.

Local and central assessors are also subject to the same constitutional restrictions against property tax increases, and taxpayers receive the same constitutional protections regardless of whether their property is locally or centrally assessed. The constitutional provisions at issue in this case draw no distinctions between properties that are centrally rather than locally assessed.

The 1990s brought a series of three voter-approved ballot measures that amended the Oregon Constitution to provide property tax relief and guard against bottom-line increases in property tax bills. Measure 5, approved in 1990, had a "straightforward" and "basic directive": "It limit[ed] the taxes that may be imposed on any property by limiting tax rates." *Coal. for Equitable Sch. Funding, Inc. v. State*, 311 Or 300, 310, 811 P2d 116 (1991). Though restrained by constitutionally-limited tax rates, local governments still had another way to raise tax revenue. They could just reappraise property more often, which they did, and those reappraisals coincided with general increases in property tax values throughout the state that occurred in the mid-1990s. This caused some property owners to have higher tax bills than they had before Measure 5, especially residential homeowners. *See* Oregon Legislative Revenue Office, *The New Direction of the Oregon Property Tax System Under Measure 50*, at pp. 2-3 (Nov.

1999), *available at* https://www.oregonlegislature.gov/lro/Documents/report%206-99.pdf.

Voters rebelled. Seeking to fix this perceived loophole in Measure 5, they approved Measure 47 in 1996 and its successor, Measure 50, in 1997. Measures 47 and 50 made additional amendments to the Oregon Constitution to address the problem of higher taxes caused by assessors' reappraisals of property. *Id.* at 5. These Measures each shared the same goal: "to limit property taxes." *Ellis v. Lorati*, 14 OTR 525, 534 (1999).

The key feature of Measure 50 is to make "maximum assessed value" rather than real market value the basis for taxation and, in turn, to limit the year-over-year growth of maximum assessed value to 3%, subject only to a handful of specific, narrow exceptions. Or Const art XI, § 11(1). The baseline maximum assessed value was fixed for property in existence when Measure 50 took effect as of July 1, 1997, and is fixed for all other property "in the first tax year in which [it] is taken into account." Or Const art XI, § 11(1)(a) & (d). This ensures that assessors cannot increase the maximum assessed value of property more than 3% each year unless there is a change that triggers an exception—even if the property's real market value has increased and even if the assessor believes the previous year's assessment understated the property's value. *Id.*; *see also Flavorland Foods v. Washington County Assessor*, 334 Or 562, 564, 54 P3d 582

(2002) (explaining that under Measure 50, "if the real market value of property exceeds the property's maximum assessed value, then property tax is levied based on the maximum assessed value, not the real market value, of the property.").

The exception at issue here concerns the exception to the 3% Limit for valuation of property that "is new property or new improvements to property." Or Const art XI § 11(1)(c)(A). The other five exceptions to the 3% Limit include property that is "first taken into account as omitted property" and property that "becomes disqualified from exemption, partial exemption or special assessment." *Id.* § 11(1)(c)(D) & (c)(E).

The Department Doubled DISH's Tax Bills When It Started Centrally Assessing Its Property in 2009.

In 2009, without any material change in Oregon law, DISH's Oregon operations, or DISH's assessable property, the Department decided to centrally assess DISH's Oregon property. As a result of this shift from local to central assessment, DISH's property assessments *doubled* in the first year of central assessment. By 2012, DISH's assessments had increased 166% compared to the last year of local assessment. Specifically, DISH's property assessments increased from $17,367,472 in the last year of local assessment, to $34,920,000 in 2009, and to $46,217,100 in 2012. The higher assessments more than doubled DISH's tax liability during the same period. SER 4.

While these valuation increases facially violated Measure 50's 3% Limit, the Department concluded that Measure 50 did not restrict its assessments. That is because, in the Department's view, it undertook to value "the entire property, both within and without the State of Oregon as a unit." ER 18; SER 12. Under the unit method of valuation, the Department first determined the scope of the company's "unit." The Department made short work of that threshold inquiry by determining that the "unit" was essentially the entirety of DISH's operations and assets. ER 21, 23-24. The Department then set about to determine the real market value of this unit—in other words, the real market values of DISH Network as a corporate entity—based on a formula that considered the cost of its assets, revenue, capitalization, and debt. ER 20; SER 12.

The Department then allocated a fraction of the value of the total unit to Oregon based upon a formula that considered the original cost of DISH's Oregon property and its Oregon operating revenue. ER 19. The allocated value of the unit became the assessed value of DISH's taxable Oregon property. ER 29. Construing the "unit" as "a new unit of property" that had "no previous maximum assessed value," the Department completely discarded the local assessments and established "a new maximum assessed value" because the property was "new to central assessment." SER 12. The Department also determined that DISH's intangible assets were new property because they were not assessable by local

governments. DOR Br. at 34. The Department offered no other justifications for throwing out the locally assessed values and resetting DISH's maximum assessed value. SER 12.

The Department's overstated 2009 maximum assessed values had spillover effects for each subsequent tax year, because the Department thereafter assumed the correctness of the 2009 assessments. For example, in 2010, the Department calculated the maximum assessed value based upon the overstated 2009 assessed value plus the 3% growth allowance. Thus, the error of treating DISH's property as "new" in 2009 infected each subsequent year's assessment. *See* ER49.

The Tax Court Correctly Rejects the Department's Broad Interpretation of the New Property Exception.

The parties agree that DISH properly exhausted its administrative remedies with respect to every tax year at issue in this case. ER46-47. The Department denied relief at the administrative level, and DISH timely appealed by filing complaints challenging the Department's decisions for each tax year in the Tax Court. The actions were specially designated for hearing in the Regular Division and then consolidated by order. DISH claimed, *inter alia*, that the Department erroneously calculated the maximum assessed value of its property and, in doing so, violated Measure 50 by ignoring the prior year's maximum assessed value and assigning a new maximum assessed value based solely on its determination of real market value.

The parties cross-moved for summary judgment on DISH's claims under Measure 50. The Department did not controvert or dispute the facts discussed above, and the parties' arguments focused solely on the interpretation of Measure 50's new property exception. The Tax Court issued an order resolving the parties' legal dispute, rejecting the Department's sweeping interpretation of the exception as including any property that is "new" to central assessment. "[B]eing *subjected to* central assessment for the first time is not an exception provided for by Measure 50. Nor is it a suitable basis, in and of itself, for relying upon the new property exception." ER54. Applying this interpretation to the undisputed facts, the Tax Court concluded that none of DISH's property was "new"—it was in existence, used by DISH, was subject to central assessment, and by and large was *actually* assessed in the tax year before the Department began centrally assessing it. ER51. "Property existing and subject to central assessment before the assessment date for tax year 2008-09 [was] not new property when it was first subjected to central assessment in tax year 2009-10." ER55.

DISH and the Department stipulated to the maximum assessed value of the property in anticipation that the Tax Court would conclude the new property exception did not apply. ER49. The Tax Court entered a limited judgment based upon the parties' stipulation setting the correct maximum assessed value and

ordering that DISH's tax liability be determined using the corrected maximum assessed value. ER57-58. The Department appealed.

QUESTION PRESENTED AND SUMMARY OF ARGUMENT

There is no dispute that the Department's assessment violated Measure 50's 3% Limit. The Department agrees that Measure 50 protects centrally assessed companies like DISH and that the 3% Limit may have applied to the 2009 central assessment of DISH's property. *See* DOR Br. at 1-2. It agrees that the maximum assessed value of DISH's property in 2009 was the sum of the total statewide value of the 2008 local assessments plus an increase of no more than 3%, unless the new property exception to Measure 50's 3% Limit applies. *See* DOR Br. at 1-2. And the Department agrees that if it erroneously calculated maximum assessed value in 2009, then that error infected its calculation of maximum assessed value in every subsequent tax year and that DISH is entitled to a refund for those tax years as well. *See* DOR Br. at 11; ER46-49. The only point of disagreement, then, is whether Measure 50's exception for new property justified the Department's decision to double the assessed value of DISH's property and resulting tax bills in 2009 and each year after that. DOR Br. at 2.

The question presented concerns the plain meaning of the term "new property" and whether it should be construed so broadly as to include property that is not "new" to the taxpayer or even "new" to the Oregon property tax

system, but was only "new" to the Department of Revenue's central assessment roll for reasons having nothing to do with anything the taxpayer did. The answer to this question is: "no."

The Department's shoehorning of the DISH assessment into the new property exception is unpersuasive, as the Tax Court correctly determined. First, the Department's interpretation is flatly at odds with the plain, natural, and ordinary meaning of what it means for a taxpayer's property to be "new." Second, the plain meaning of the new property exception is confirmed by related statutes implementing Measure 50, which ensure that Measure 50's protections continue notwithstanding a change in the identity of the assessor and that only the taxpayer's actions—and not the actions of the assessor—can create "new" property. Finally, the Department's interpretation of the new property exception would make the separate exception for omitted property superfluous and foster the absurd result of giving assessors the unilateral power to circumvent the 3% Limit, opening the kind of loophole that the voters sought to close when they approved Measure 50.

RESPONSE TO ASSIGNMENTS OF ERROR

The Department's First Assignment of Error

The Tax Court correctly granted DISH's motion for summary judgment and correctly ruled that the exception for new property did not justify the Department's assessments of DISH's property for the tax years at issue.

The Department's Second Assignment of Error

The Tax Court correctly denied the Department's motion for partial summary judgment on the same issue.

Preservation of Error and Standard of Review

DISH does not dispute that the Department preserved its objections to assignments of error. Because the facts material to the parties' disputed legal issues were not in dispute or otherwise controverted in the record, DISH also does not dispute that the standard of review for the Tax Court's rulings on the parties' cross-motions for summary judgment is for errors of law.

COMBINED ARGUMENT IN RESPONSE

I. DISH's Property Was Not "New" Under Any Plain Meaning Interpretation of Measure 50 or the Implementing Statutes.

The Department presses an interpretation of "new property" that focuses on the assessor's actions rather than on the property itself or the taxpayer's relationship to it. Under this sweeping interpretation, property is "new" if it "is new to the central assessment roll" even if "a unilateral act by the assessor . . .

triggered the change." DOR Br. 17, 21, 25, 32-33. Thus, the Department argues that property that has belonged to the taxpayer for years or even decades, has already appeared on an assessment roll, and had a previously determined maximum assessed value loses the protections of Measure 50 simply because the Department has moved it from local to central assessment.

The basic error in the Department's position is that it makes the very act of subjecting property to central assessment or a different valuation methodology an exception to the 3% Limit. The 3% Limit is an ironclad constitutional protection that is subject to only a handful of explicitly stated exceptions. Or Const art XI, § 11(1). The Constitution makes allowances for certain events like disqualification from exemption or special assessment, rezoning, and lot line adjustments. *See* Or Const art XI, § 11(1)(c); ORS 308.146(3). But neither the Constitution nor the implementing statutes contemplate an exception for a change in the identity of the assessor, changes in valuation methodology, or moving property from local to central assessment.

Indeed, the Department's invocation of the new property exception does not even comport with how it determined maximum assessed value in this case, which underscores the shocking breadth of its interpretation and incompatibility with the constitutional and statutory structure. ORS 308.153 describes how to calculate maximum assessed value when there is "new property." First, the

assessor calculates the maximum assessed value under the 3% Limit for all property that is not new, i.e., property already in existence and owned by the taxpayer. ORS 308.153(1)(a). Second, the assessor separately calculates "[t]he product of the value of the new property or new improvements" multiplied by the changed-property ratio of no greater than 1.0. ORS 308.153(1)(b); *see also* ORS 308.153(2)(a). The maximum assessed value of all property in the account is the sum of the two calculations. ORS 308.153(1). Thus, even assuming that *some* of the taxpayer's property is "new," the assessor cannot simply reset the maximum assessed value for all of the taxpayer's property. Yet, that is exactly what the Department did in this case in treating every part of DISH's property as an exception to the 3% Limit and completely discarding the prior years' maximum assessed values. ER 29.

Here, there was no "new" property that justified invoking the new property exception at all, much less an exception that allowed it to reset the maximum assessed value of all of DISH's Oregon property. The Department's decision to treat all of DISH's property as "new" was in conflict with the plain meaning of the constitutional and statutory text, the relevant constitutional and statutory context, and the voters' intent when they approved Measure 50 to protect taxpayers from the whims of assessors. A straightforward interpretation of the exception shows that an assessor's unilateral actions cannot create "new

property," and that the exception applies only to allow the additional value of property that *the taxpayer* has recently acquired.

A. An Assessor Cannot Create "New Property."

The goal of interpreting voter-approved constitutional amendments is "to discern the intent of the voters." *Shilo Inn v. Multnomah County*, 333 Or 101, 116, 36 P3d 954 (2001). The best evidence of the voters' intent is the constitutional text, affording words of "common usage their plain, natural, and ordinary meaning." *Flavorland Foods*, 334 Or at 568. Measure 50 states that the assessor may add the value of property without regard to the 3% Limit if "[t]he property is new property or new improvements to property." Or Const art XI, § 11(1)(a)(c)(A). Here, "new" is an adjective that temporally limits the property that is excepted from Measure 50's 3% Limit. Bryan A. Garner, *The Redbook: A Manual on Legal Style* § 10.33 (2002) ("An adjective is a word that describes, specifies, or in some way modifies a noun."). The word "new" is inherently temporal; it necessarily describes or limits "property" by reference to time. *See, e.g.*, Webster's Third New Int'l Dictionary (Unabridged), "New" (2017) ("1. Having existed or having been made but a short time: having originated or occurred lately: not early or long in being: recent, fresh, modern."); Oxford English Dictionary, "New, adj. and n." (June 2017) ("That has not previously existed, differs from what existed in the past, etc."; "Not previously

existing; now made or brought into existence for the first time"; "Not previously known or experienced; now known or experienced for the first time"), *available at* http://www.oed.com/view/Entry/126504?rskey=si8GKV&result=1 (last accessed Nov. 28, 2017).

The plain, natural, and ordinary meaning of the phrase "new property" means property that is new to the taxpayer, not the assessor. While the Department (DOR Br. at 18-19) frames its argument around an example that uses the adjective "new" to describe a person (specifically, a lawyer), it's much easier and more analogous to consider the meaning of the adjective "new" when it describes property. If Bob tell his friends that he has a "new" house, his friends know exactly what he means: he just acquired a house. His friends might inquire whether that means he bought a house and accompanying land, or built a house as an improvement on land he already owned, but his basic meaning is obvious to everyone. And it should be equally obvious to an assessor that Bob's property is "new" because he just came into ownership of a home that was not previously assessed as Bob's property and was not subject to assessment as Bob's property.

This plain reading of the phrase "new property" was at the heart of the Tax Court's interpretation of the new property exception in *Douglas County Assessor v. Crawford*, 21 OTR 6 (2012), which it applied here. That case involved improvements to real property that were constructed more than ten years before

the county finally started assessing them. *Id.* at 6-7. The Tax Court rejected the county's attempt to invoke the new property exception, correctly noting that the definition of "new" "suggests not only that something has existed for only a short time, but also implicitly suggests that if something existed earlier than a measuring point in time, the item is not new." *Id.* at 10. After examining the statutory context for the new property exception, the Tax Court determined that the relevant point in time was the calendar year immediately preceding the assessment date—and if the improvement came into existence before the preceding year then it was not "new property." *Id* at 11-12. Thus, property that was assessed or could have been assessed to the taxpayer—*i.e.*, property that existed and was owned by the taxpayer—in the previous tax year cannot be "new" property. *Id.*

The plain meaning of "new" property as property that either came into existence or the taxpayer's ownership or use in the previous tax year is readily applied to the undisputed facts of this case. The current tax year for purposes of the new property analysis is 2009; thus, the property must have become assessable to DISH during the 2008 tax year to be considered "new." There was, however, no "new" property justifying the addition of exception value in 2009 in any sense of the word:

- DISH's tangible and intangible property did not come into existence in the year before central assessment began—it was not "new" in the sense that it was recently acquired;
- DISH's tangible and intangible property had always been subject to central assessment even though the Department neglected to assess it until 2009—it was not "new" in the sense that it recently became subject to central assessment; and
- DISH's tangible property, which comprised the vast majority of DISH's centrally assessed value, was assessed and taxed by local governments in 2008—it was not "new" in the sense that it was even new to property tax assessment in Oregon.

The Department's argument that the new property exception encompasses the unilateral actions of an assessor is directly contrary to the constitutional and statutory text. Measure 50 uses the term "new property"; it does not say "newly discovered property" or "newly assessed property." *Crawford*, 21 OTR at 2 n.3. "New" is an adjective that describes the noun "property"; "newly" is an adverb that the voters could but did not use to "qualify an action of the assessor." *Id.* That is "why an action of the assessor," i.e., the decision to centrally assess property, "cannot supply the authority for the action of the assessor." *Id.* If the voters or the legislature intended for tax authorities to invoke the new property

exception on their own, they certainly knew how to do so as the numerous constitutional provisions and statutes that command, prohibit, and authorize assessor actions show. *See, e.g., Con-Way, Inc. & Affiliates v. Dep't of Rev.*, 353 Or 616, 626-27, 302 P3d 804 (2013).

The Department's interpretation of "new property" as including property that is new to central assessment or unit valuation is strained at best. Suppose that instead of buying a house, Bob has owned his house (and the accompanying land) for nearly twenty years. One day Bob's neighbor asks whether Bob is happy with his "new house." Bob is puzzled and inquires what on earth the neighbor is possibly thinking. When the neighbor explains that the county has changed the way it is valuing real property or has shifted his house to a different tax account or tax code, Bob still has no clue how that could possibly mean he now owns a "new house." Similarly, here, the fact that the Department decided it would begin assessing DISH's property, or changed how DISH's property would be valued for Oregon tax purposes, does not mean that DISH suddenly had "new" property under any plain or natural understanding of the word.

The Department criticizes the Tax Court and *Crawford* for interpreting the exception so narrowly that property is "new" only if it was built or manufactured in the previous tax year, opening the door for "companies [to] avoid being taxed on property by buying it used rather than new." DOR Br. at 29. But that's *not*

the Tax Court's interpretation, and it's not the interpretation DISH advocates in any event. Rather, *Crawford* was specifically applying the exception to improvements constructed on real property years before by the same taxpayer, and so it made sense in that case for the Court to talk about when the improvements "came into existence." In that regard, *Crawford* reflected the principle that the maximum assessed value of parcels of real property and improvements thereon does not reset when ownership changes. *See* Or Const art XI, § 11(1)(g).

The Tax Court in *Crawford* did not hold that personal property that the taxpayer buys used from a previous owner can never be "new" for purposes of the exception. The Tax Court recognized as much when it explained here that DISH's property was not "new" because it was "property that was already subject to assessment before" the preceding tax year (App. 12-13)—and, thus, DISH's property would have been "new" if it came into existence *or* if DISH had acquired it from a previous owner in the prior tax year. This holding correctly reflects the principle that personal property is generally valued for Measure 50 exception purposes collectively rather than as individual pieces of personal property, with adjustments to account for the value of retired personal property. *See* ORS 308.153(2)(a). Net additions made by the taxpayer to their personal property assets in the previous tax year are "new property" or "new improvements to

property" regardless of whether the taxpayer bought the specific pieces of property used from a prior owner. *See* OAR 150-308-0150.

B. "New" Property Refers to the Temporal Relationship Between the Taxpayer and Property.

The implementing statute that defines "new property" for purposes of Measure 50's exception also confirms that the focus must be on the taxpayer's actions—not the assessor's:

> (a) 'New property or new improvements' means changes in the value of property as the result of:
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> > (A) New construction, reconstruction, major additions, remodeling, renovation or rehabilitation of property;
> >
> > (B) The siting, installation or rehabilitation of manufactured structures or floating homes; or
> >
> > (C) The addition of machinery, fixtures, furnishing, equipment or other taxable real or personal property to the property tax account.
>
> (b) 'New property or new improvements' does not include changes in the value of the property as the result of:
>
> > (A) General ongoing maintenance and repair; or
> >
> > (B) Minor construction.

ORS 308.149(5). Subsections (a)(A), (a)(B), (b)(A), and (b)(B) plainly and clearly refer to things the taxpayer does to create or acquire property or make improvements, such as building a house, adding to a building, putting a

manufactured home on a piece of land, or replacing a leaky roof. They have nothing to do with the assessor's unilateral actions.

The Department thus argues (DOR Br. at 22-23) that the Department *itself* can be the actor that causes the "addition of . . . property to the property tax account" under subsection (a)(C). It cannot. The phrase "addition of real or personal property to the property tax account" must be read in conjunction with the other subsections, which all refer to the taxpayer's actions—not the assessor's. Thus, subsection (a)(C) must likewise be construed as an addition resulting from an action of the taxpayer. *See State v. McCullough*, 347 Or 350, 361 nn. 8-9, 220 P3d 1182 (2009) ("[T]he meaning of words may be indicated or controlled by those with which they are associated," and when a statute provides "a list of items, this court, under the principle of *ejusdem generis*, construes the statute as referring only to other items of the same kind." (internal quotation marks omitted)). Subsection (a)(C), like the rest of ORS 308.149(5), reflects the basic notion that property cannot be added to the property tax account unless the taxpayer does something that enables the addition, such as installing a new piece of machinery, buying a cargo truck, or signing a contract for intellectual property rights. [3]

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[3] The Department's interpretation of this implementing statute also contravenes the plain meaning of the term "new property" as used in the Oregon

Indeed, the Department's regulations recognize that "additions" to the property tax account means additions made by the taxpayer—not the assessor. The Department has explained that "[f]or purposes of centrally-assessed property, the term 'improvements' means changes in the value of property as the result of . . . the acquisition of property" by the taxpayer. OAR 150-308-0150(1)(a). In determining whether there have been any new personal property improvements, the Department looks to "company expenditures" to determine whether the taxpayer has, for example, "acquir[ed] . . . equipment[] and personal property such as furniture and fixtures." OAR 150-308-0150(1)(b). The regulations do not contemplate that the Department will treat assets as personal property improvements or "additions" to the tax account merely because they are newly discovered or newly assessed. Instead, the regulations correctly focus on whether *the taxpayer* has recently acquired property.

Measure 50's text is also instructive. Where the voters based the application of an exception on the actions of the assessor, they used the phrase

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Constitution (*see supra* at 25-27) and the voters' intent (*see infra* at 42-43). Thus, an interpretation that permits the addition of new property based solely on the unilateral actions of the assessor must be avoided to prevent throwing the statute into constitutional doubt. *See Salem Coll. & Acad., Inc. v. Employment Div.*, 298 Or 471, 481, 695 P2d 25 (1985) ("Statutes should be interpreted and administered to be consistent with constitutional standards before attributing a policy of doubtful constitutionality to the political policymakers, unless their expressed intentions leave no room for doubt.").

"taken into account" to denote the triggering event. The phrase appears in the exception for omitted property ("[t]he property is first taken into account as omitted property") and again in prescribing that the exception to the 3% Limit applies only in the first relevant year ("[p]roperty shall be valued [without regard to the 3% Limit] only for the first tax year in which the [changes triggering an exception] are taken into account . . . ."). Or Const art XI, § 11(1)(c)(D) & (d). The voters could have used a similar language to describe the new property exception, i.e., "the property is first taken into account as new property or new improvements to property," but they did not.

The Department's interpretation also ignores ORS 308.162, which makes clear that property is not "new" just because of a change to the property tax accounts. The statute provides that if "two or more property tax accounts are merged into a single account, or if property that is attributable to one account is changed to another account," then the "maximum assessed value for all affected accounts may not exceed [what it would have been] if the merger or change had not occurred." ORS 308.162(1). Thus, an assessor cannot reset the maximum assessed value by shuffling property around to different tax accounts or merging contiguous tax accounts into a single account. So, too, here, where the same DISH property appeared on local property tax accounts before and after the Department's decision to step in as the central assessment authority. *See supra*

at12-13. What is equally obvious is that the Legislature in enacting ORS 308.162 recognized the voters' intent that an assessor's unilateral actions cannot create "new" property or serve as an exception to Measure 50's 3% Limit.

The Department's analogy (DOR Br. at 31-32) to the treatment of property that is disqualified from exemption and special assessment undermines rather than supports the Department's interpretation of the new property exception. Disqualification from exemption or special assessment is an exception to Measure 50's 3% Limit. ORS 308.146(3)(e). Thus, if property was exempt from taxation or subject to a special assessment and later becomes disqualified from that preferential tax treatment, e.g., the taxpayer no longer uses it for charitable purposes, the assessor may increase the maximum assessed value to partially reflect the disqualified property's real market value unlimited by the 3% Limit. *Id.* The Department does not claim that any of DISH's property was exempt or subject to special assessment before 2009 (nor could it), but it says the situation is analogous because "[disqualified] property was assessed under a different legal standard the previous year," akin to "property that was assessed locally the previous year but is being centrally assessed this year." DOR Br. at 31.

To be clear, the Department is incorrect to argue that the increase in DISH's assessed value under central assessment was the result of a "different legal standard." There was no change in Oregon law or the legal standards

governing the assessment. The only change was the Department's unilateral decision to begin centrally assessing DISH's property. Nor is the Department correct to suggest (DOR Br. at 32) that there is something talismanic about its decision to value DISH's property as a "unit." As explained above, unitary valuation is just a different method of valuing taxable property—it does not change what property is subject to tax or create new property. *See supra* at 9-12. And the Department is especially wrong to suggest (DOR Br. at 32) that the unit valuation method resulted in the taxation of "property that is outside the state," though if it did, then it has violated the U.S. Constitution. *See supra* at 10.[4]

Moreover, the Department's analogy to disqualified property highlights the defects in its interpretation of the new property exception. The voters and legislature created a special rule to address property that was not previously assessed because of an exemption. They plainly thought this special rule was necessary because the exception for new property would not apply—they understood that property is not "new" merely because it was new to the assessment roll following disqualification, unlike the Department, which now argues that property is "new" if it is new to the central assessment roll for any

[4] The Department also notes that central assessment captures "property that is used or held for use in the business even if the taxpayer does not own it" (DOR Br. at 32) but there has never been any suggestion below or in the Department's brief that the increase in DISH's assessed value was because such property.

reason. The absence of a similar special rule addressing these facts shows they intended that a different rule would apply to DISH's property than if it had been disqualified from exemption or special assessment. If the voters (or the legislature, in enacting the implementing statutes) wanted to treat newly centrally assessed property like previously exempt property, they would have done so expressly.

C. The Department's Interpretation Makes the Omitted Property Exception Superfluous.

In arguing that its expansive interpretation of the new property exception is necessary to ensure property does not escape taxation, the Department overlooks that the voters and legislature *did prescribe* narrow circumstances in which an assessor could unilaterally exceed Measure 50's 3% Limit even though the taxpayer made no change to the property during the previous year.

The only exception that permits this is the one for omitted property, i.e., property that could have been but was not assessed in prior tax years. The Department's expansive interpretation of the new property exception, however, would make the omitted property exception superfluous and neutralize the important limitations the voters and the legislature placed on assessors' ability to invoke that exception. *See Arken v. City of Portland*, 351 Or 113, 156, 263 P3d 975 (2011) (noting "the cardinal rule of statutory construction to give

significance and effect to every part of a statute and the well-established principle to avoid interpretations of statutes that render part of them redundant").

The omitted property exception allows assessors to assess property that has been omitted from the tax rolls under certain circumstances. ORS 308.628 (central assessment); ORS 311.216 (local assessment). The exception applies when the assessor discovers that otherwise assessable property was not actually taxed, i.e., "omitted property." The statutes allow the assessor to correct past tax rolls for up to five years to reflect the omitted property—unconstrained by Measure 50's 3% Limit—and to collect additional tax revenue as a result.[5]

The Department candidly admits that it is trying to achieve the same result by broadly interpreting the exception for new property: "Interpreting 'new property' to include property that is new to the assessment roll makes the new-property provision work exactly like the omitted-property provision: in both circumstances, the exception-property rule applies the first time the property appears on the assessment roll." DOR Br. at 26. Indeed, it says that its interpretation of the new property exception is necessary to "better match[] Measure 50's treatment of omitted property." DOR Br. at 25. And it admits that

[5] The Department does not argue on appeal that the omitted property exception directly supports the assessment of DISH's property, and it does not dispute that it has never invoked the omitted property exception in these cases. DOR Br. at 9, 13, 26.

the Department "could have achieved the same result by treating taxpayer's property as omitted rather than new." DOR Br. at 26. All of which begs the question of why the Department would rely on a novel interpretation of the new property exception rather than simply invoke the omitted property exception.

The simple answer to that question is that the exceptions are not redundant, notwithstanding the Department's argument now that they are. Indeed, the exceptions complement each other and do so in a way that underscores why the new property exception can only apply to property the taxpayer recently acquired.

"Omitted property" necessarily means property that existed and was assessable to the taxpayer the immediately preceding tax year began (here, before January 1, 2008). If the property came into existence or was not assessable until after that date, then it was not "omitted" from the certified rolls because it could not have been assessed on those rolls in the first place. In this way, the omitted property exception allows assessors to revisit past rolls to correct the omission of property that was subject to assessment but not actually assessed in those earlier tax years.

The new property exception, by contrast, deals with an entirely different situation. It allows for the addition of value for property that was not omitted from any prior rolls because it either did not exist or was not owned by or otherwise assessable to the taxpayer when those rolls were certified. It is a

mechanism for capturing the full value of property that came into existence or was not assessable to this taxpayer until the current tax year. In this way, the new property exception complements the omitted property exception: the latter enables the addition of property that previously existed but was not assessed; the former enables the addition of property that did not previously exist and therefore could not have been assessed. The Department ignores this complementary structure when it argues that the new property exception has nothing to do with when the property came into existence or was acquired by the taxpayer. Its interpretation essentially merges the two exceptions into one, as the Department admits.

Assessors often omit property from their tax rolls, as the myriad cases interpreting the omitted property statutes illustrate, and as the legislature understood when it enacted the omitted property statutes. But their power to invoke the omitted property exception is not unlimited: Taxpayers enjoy protections from the addition of omitted property, including safeguards against assessor's attempts to use the exception to reappraise property that was previously taxed or add property that the assessor knew about but failed to assess. *See Clackamas County Assessor v. Village at Main Street Phase II, LLC*, 349 Or 330, 341-42, 346, 245 P3d 81 (2010); *Marion County Assessor v. Dep't of Rev.*, 10 OTR 265, 270 (1986); *see also* OAR 150-311-0210(2) & (3). Assessors must

also give notice and opportunity to be heard before adding omitted property to the certified rolls. *See* ORS 308.632 & 311.216. These substantive and procedural requirements, like the omitted property exception itself, would be irrelevant if Department's interpretation of the new property exception prevails: The Department and local assessors across the state can just forego correcting past rolls and add property to the current and future rolls as "new property" unrestrained by Measure 50's 3% Limit.

D. The Department's Interpretation Puts Measure 50's Protections in the Hands of the Assessors That the Voters Sought to Restrain.

The history of Measure 50 demonstrates the voters' intent to create robust constitutional protections against property tax increases resulting from the whims of assessors, rather than a change in the taxpayer's property, and to limit those protections using specific, narrow exceptions to the general rule. They were fed up with property increases driven by perennially higher appraisals of their homes, land, and other property. The Department's overly expansive interpretation of the new property exception—an interpretation so broad as to swallow the rule constraining unbridled tax growth—undermines Measure 50's fundamental purpose. It would deny taxpayers the certainty, predictability, and relief that Measure 50 affords and, instead, puts taxpayers' constitutional rights in the hands of the very assessors that the voters sought to restrain.

The purpose of constitutional interpretation is to effectuate the voters' intent to protect taxpayers from unrestricted growth of their bottom-line tax payments. *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 57, 11 P3d 228 (2000) ("[I]t is the people's understanding and intended meaning of the provision in question—as to which the text and context are the most important clue—that are critical to our analysis."); *Shilo Inn*, 333 Or at 129-30 (same). The voters focused first and foremost on restricting the growth of property tax bills and affording taxpayers certainty against increases. The voters intended for Measure 50 to "limit[] property taxes through restrictions on assessed value of property." SER 31 (Official Measure 50 Voters' Pamphlet); *see also Shilo Inn*, 333 Or at 129-130 (the court may look to "those materials that were presented to the public at large . . . to elucidate the public's understanding of the measure and assist in [its] interpretation of the dispute provision," including "materials that are included in the Voters' Pamphlet, such as the ballot title, the explanatory statement, and the legislative argument in support"). Legislators told voters that Measure 50 caps "property assessments at . . . 3% growth" and "will guarantee that assessed value growth and actual property taxes will be restricted as promised." SER 36 (emphasis added). And they promised that, under Measure 50, "[y]our property tax payment will not grow more than 3% per year." SER 37. This focus on limiting the amount of overall tax growth favors interpreting the Constitution and

statutes in a manner that ensures the continuation of maximum assessed values despite changes in the assessor's identity, whether the change is from one local assessor to another, or from local to central assessment.

The Department's belief that it can reset the maximum assessed value for property that is "new to central assessment" would permit the Department to use its own failure to comply with the duty to centrally assess property to strip taxpayers of Measure 50's protections. As this case illustrates, companies might be locally assessed for decades before the Department chooses to centrally assess their property. The Department's position, however, denies these taxpayers meaningful Measure 50 protection and assurance against tax increases. If the Department is correct, each year would bring the possibility that a company's maximum assessed values will be thrown out and replaced with whatever the Department determines the real market value to be, all on the whim of the Department's unilateral decision to begin centrally assessing the company.

This uncertainty not only strips taxpayers of the Constitution's assurance against year-over-year tax increases, it creates an incentive for the Department to behave in ways that wildly increase companies' property tax bills, as it did here. Rather than assessing a company when it first becomes subject to central assessment, the Department can wait until the real market value of the company's assessed property outpaces the maximum assessed value applicable to local

assessors, and then reset the maximum assessed value by switching to central assessment. Or the Department could decide to revert the property to local assessment when the real market value outpaces the maximum assessed value, only to switch back to central assessment free of Measure 50's limitations a few years later. The Court should refuse to interpret Measure 50 in a way that opens such loopholes and exposes taxpayers to uncertainty.

The expansive interpretation of "new property" that the Department presses here is not limited to centrally assessed companies. If adopted by this Court, it will have wide-ranging effects throughout the Oregon property tax system and affect every Oregon property taxpayer. The new property exception is not unique to central assessment; the exception has the same meaning regardless of whether the assessed property is a residence in Salem, a mill in Roseburg, or a mile of railroad outside of Eugene. The fundamental premise of the Department's position is that the "new property" exception does not require any change in property; it is, the Department argues, a mechanism for assessors to add assessable property to their own tax rolls, regardless of when the property came into existence, when the taxpayer acquired it, and even if it was taxed in the immediately preceding year. This gives assessors an unlimited ability to assess property free of Measure 50's limits on maximum assessed value—even

if, as this case shows, the failure to assess the property was because of the assessor's own actions.

The Department's interpretation would apply equally to improvements to property. The word "new" has to mean the same thing regardless of whether it precedes "new property" or "new improvements to property." Freed of any temporal restriction, as the Department proposes, assessors could add improvements to existing property without regard to the 3% Limit whenever they like. The voters and the legislature recognized that assessors sometimes make mistakes, and that Measure 50 should accommodate those errors to a degree. But that is why they accounted for omitted property, made it an exception to the 3% Limit, and placed restrictions on when and how it can be used. The new property exception was simply not designed to provide an exception for property that is not new in any temporal sense, but rather solely "new" in its relation to an assessor's roll.

While the Department claims that the Tax Court's ruling, if affirmed, will allow property to "escape" taxation, that is not true as a matter of fact or law. Here, DISH's property *was* taxed before central assessment, and it remains taxed after central assessment. There is no property that has "escaped" taxation at all. And insofar as the Department is specifically referring to DISH's intangible property, it is inaccurate to say that property "escaped" taxation: The legislature

proscribed the local assessment of intangible property and the Department otherwise failed to exercise its duty to centrally assess it. Even so, Measure 50 does not determine the property's taxability, but only the assessed value that may be assigned to taxable property, and so no property will "escape" taxation if the Tax Court's judgment is affirmed.

The Department's complaint thus reduces to an assertion that DISH's property will be *under*taxed if the Tax Court's judgment is affirmed. Not so. DISH will continue to pay substantial property taxes in Oregon, just as it did under local assessment based upon the valuations local assessors assigned to its property. Insofar as DISH may wind up paying slightly less than the Department would assess using its unitary valuation methodology, that is not because of anything DISH has done to "escape" or avoid taxation—it is a natural function of Measure 50, its ironclad rule against the reappraisal of property, and the Department's failure for more than a decade to centrally assess pay-TV providers. That is not a reason to undo the protections of Measure 50 and subject Oregon taxpayers to an exception for "new" property they never intended.

II. At Minimum, DISH's Tangible Property Was Locally Assessed and Was Not "New" Under Any Possible Interpretation.

The parties agree that if the Court were to reject their respective first-line arguments, then it should alternatively hold that DISH's tangible personal property, which was locally assessed in the last year of local assessment, was not

"new" property. What's left, then, is the relatively small proportion of DISH's property composed of intangible assets, which while always subject to central assessment, were not assessed by any assessor until the Department began central assessing DISH's property in 2009.

Whatever the Court concludes with respect to intangible property, it is beyond dispute that DISH's tangible property was not only in existence and owned or used by DISH in the previous tax year, it was *actually* assessed and taxed. The 3% Limit and the new property exception would be meaningless if an assessor could treat property as "new" even though it was taxed in the previous tax year and already had a maximum assessed value given to it.

It is immaterial for purposes of Measure 50 whether DISH's intangible property was actually assessed in the last year of local assessment; it matters only that it was *subject to* central assessment—which it was. The calculation of maximum assessed value for a centrally assessed company is considered in the aggregate. For purposes of determining the maximum assessed value of DISH's property in 2009, the calculation was to take "the total statewide value of all property assessed to" DISH in 2008 when it was "subject to" central assessment, and allow a modest increase of 3%. ORS 308.142(1)(b); ORS 308.146(1). The specific components of the total statewide property assessed to DISH in 2008,

whether tangible or intangible, real or personal, do not factor into the aggregate determination of maximum assessed value under Measure 50.

The composition of tangible versus intangible property also distinguishes this case from the *Comcast* case referenced throughout the initial brief, and there is certainly no foundation for the Department's assertion (DOR Br. at 35) that DISH's intangible property would produce a higher valuation than the methodology it used in 2009. *Comcast* is, of course, a different case involving a different taxpayer with different facts, and the Department does not identify the supposedly "100 other companies whose tax liability could similarly be affected" by the decision here. But there is one key fact here that distinguishes this case from *Comcast*, and that likely distinguishes DISH from the other taxpayers the Department has in mind as well: whereas DISH's intangible property makes up a relatively small percentage of its total assets, the opposite is true in *Comcast*, where the taxpayer's intangible franchise agreement rights are presumably worth billions of dollars. *See* DOR Br. at 35.

CONCLUSION

For the reasons stated above, the Court should reject the Department's expansive interpretation of the new property exception, hold that none of DISH's

property was "new" in the 2009 tax year, and affirm the Tax Court's limited judgment.

At a minimum, and in the alternative, the Court should hold that any property that was owned or used by DISH before the 2009 tax year and actually assessed by local assessors is not "new" property. Remand to the Tax Court would be necessary for the purpose of determining the correct maximum assessed value taking into account the addition of any property that was not previously assessed, i.e., intangible property, and for determination of DISH's remaining claims.

DATED this 7th day of December, 2017.

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

Pursuant to ORAP 5.05, I certify that this Answering Brief is proportionately spaced, has a typeface of 14 points, and contains 11,164 words.

Dated this 7th day of December, 2017.

s/ Scott G. Seidman
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CERTIFICATE OF SERVICE

I hereby certify that on December 7, 2017, I directed the foregoing PLAINTIFF-RESPONDENT' ANSWERING BRIEF AND SUPPLEMENTAL EXCERPT OF RECORD to be electronically filed with the Appellate Court Administrator, by using the court's electronic filing system. The following participants in the case are registered appellate court users and therefore will be served by the appellate court's electronic filing service:

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